

# Starting a Business in Pakistan

## Decide before registering

Registration is only one part of starting well. The legal form affects control, liability, tax, investment, continuity, records, and exit. Common forms include a sole proprietorship, an association of persons or partnership, a limited liability partnership, and a company.

- Write down the owners, contributions, voting rights, profit shares, roles, and exit expectations.
- Decide what the business will sell, where it will operate, and whether a sector licence is required.
- Check the proposed name, domain, and relevant trademark position before spending on branding.
- Separate personal and business money from the start.

## Important limitation

This guide is educational information, not legal, tax, accounting, or investment advice. Regulated sectors and foreign ownership can require additional approvals.

# Choose the legal structure

## Questions to compare

- Who owns and controls the venture?
- Is limited liability important, and what guarantees may still be requested?
- Will outside investment or employee equity be needed?
- What records, accounts, filings, and governance can the founders maintain?
- How will a founder leave, die, become disabled, or transfer an interest?

## Founder arrangements

Before value builds, document contributions, intellectual-property ownership, authority to sign, reserved decisions, salary or drawings, expense approval, confidentiality, conflicts, deadlock, transfer restrictions, and dispute resolution. Templates rarely reflect the real deal without careful editing.

The business name and marketing name should not mislead customers or infringe another party's rights. A company-name reservation is not the same as trademark protection.

# Company incorporation with SECP

## Current official pathway

SECP states that name reservation and company incorporation are end-to-end digitized and may be submitted as a combined or separate application through eZfile, with physical formats also addressed by the Companies Regulations, 2024. SECP describes four user-friendly steps and publishes current manuals and forms.

- Create the required user account and verify current identity and contact requirements.
- Search and select a compliant proposed company name.
- Prepare subscriber, director, registered-office, capital, memorandum, and articles information.
- Submit through the current eZfile process and pay the calculated fee.
- Download and preserve the incorporation certificate and filed constitutional documents.

A private company generally requires two or more persons; a private company with one member is described by SECP as a single member company. Public-company requirements differ.

# Tax and post-registration work

## FBR registration

FBR states that an individual, company, or association of persons is treated as registered for income tax when e-enrolled on Iris. For individuals, the CNIC is used as the registration number; companies and associations of persons receive a seven-digit NTN after e-enrollment.

- Determine whether income tax, sales tax, withholding, provincial sales tax, customs, or other registrations apply.
- Open and maintain the appropriate business bank account.
- Set up invoices, bookkeeping, payroll, contracts, and document retention.
- Calendar returns, accounts, annual filings, tax payments, and licence renewals.
- Record changes in directors, ownership, address, capital, or business particulars through the required process.

Sales-tax registration has additional information and verification requirements. Do not register blindly; confirm whether the business is required or eligible and what ongoing obligations follow.

# Launch file and official sources

## Keep these records together

- Founder decisions and ownership evidence.
- Name search, reservation, incorporation, and constitutional documents.
- NTN, Iris credentials, tax registrations, and professional advice.
- Bank, lease or ownership, utility, licence, insurance, and employment records.
- Customer, supplier, privacy, website, and intellectual-property agreements.

## Official sources checked July 2026

- SECP company registration:  
<https://www.secp.gov.pk/company-formation/registration-of-company/>
- SECP user guides and fee tools: <https://www.secp.gov.pk/user-guide/>
- FBR income-tax registration:  
<https://www.fbr.gov.pk/categ/register-income-tax/51147/30846/71148>
- FBR Iris portal: <https://iris.fbr.gov.pk/login>

Use current SECP Companies Regulations, eZfile guidance, FBR instructions, and any provincial or sector-regulator requirements. Fees, forms, and portal steps can change.